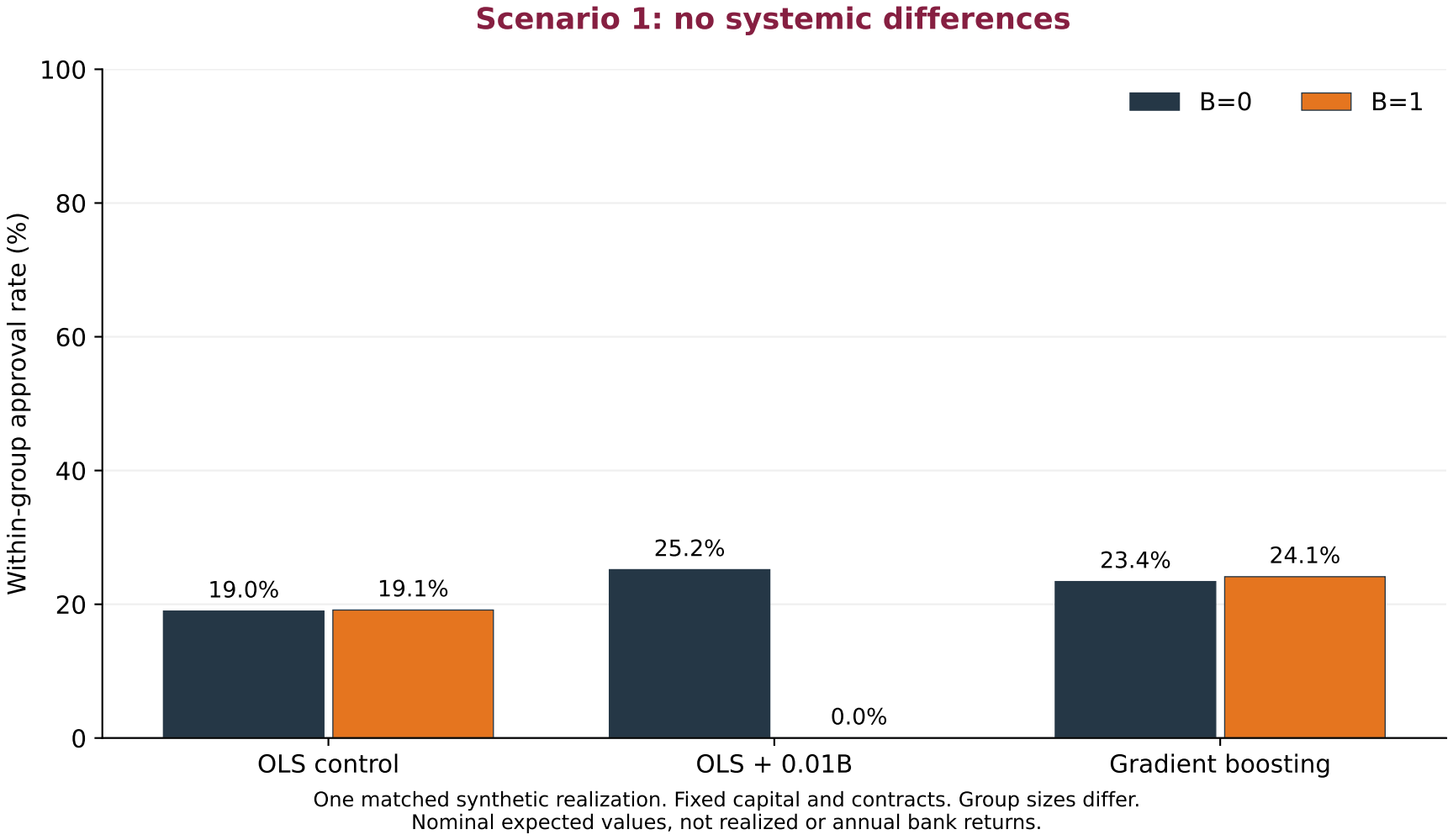
Scenario 1: no systemic differences
B=0
B=1
Within-group approval rate (%)
100
80
60
40
20
0
19.0%
19.1%
25.2%
0.0%
23.4%
24.1%
OLS control
OLS + 0.01B
Gradient boosting
One matched synthetic realization. Fixed capital and contracts. Group sizes differ.
Nominal expected values, not realized or annual bank returns.